

MERIDIAN & ASSOCIATES LLP

Advisory | Assurance | Tax | Consulting

Case Study: Retail & Consumer

Omnichannel Transformation and Revenue Recognition Overhaul
for a National Retailer

CLIENT CONFIDENTIAL - BLINDED

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1. Executive Summary

Meridian & Associates LLP was engaged by a leading national specialty retailer to provide comprehensive advisory and assurance services related to the company's omnichannel transformation and the implementation of ASC 606 (Revenue from Contracts with Customers). The client operates over 450 retail locations across 42 states, a rapidly growing e-commerce platform (representing 28% of total revenue and growing at 35% year-over-year), and a wholesale channel serving approximately 1,200 independent retail partners.

With \$3.2 billion in annual revenue, the client faced a complex set of revenue recognition challenges arising from multiple performance obligations, customer loyalty programs, gift card programs, sales return reserves, and promotional pricing structures. Concurrently, the company was undergoing a major technology transformation, migrating from a legacy point-of-sale system to a unified commerce platform, which created both opportunities and risks in the financial reporting environment.

Meridian assembled a 32-person team combining retail industry specialists, technical accounting experts, data analytics professionals, and inventory management advisors. The engagement spanned 24 months and delivered transformational improvements in revenue recognition accuracy, working capital management, and financial reporting efficiency.

Engagement at a Glance

Metric	Detail
Client Revenue	\$3.2B (FY 2025)
Industry	Specialty Retail (Omnichannel)
Engagement Duration	24 months (2024-2025)
Team Size	32 professionals (peak)
Service Lines	Advisory, Assurance, Tax
Total Engagement Value	\$4.1M (cumulative)
Client Satisfaction	4.9 / 5.0 (annual survey)

2. Client Background

The client is a publicly traded specialty retailer headquartered in the Midwest, operating under three distinct retail banners across the value, mid-market, and premium segments. The company's product mix spans apparel (52%), home goods (28%), and beauty/wellness (20%), with a private-label portfolio representing approximately 40% of total sales. The company employs roughly 24,000 associates across its retail operations, distribution centers, and corporate headquarters.

Key business characteristics relevant to the engagement included:

- A multi-banner loyalty program ('Meridian Rewards' - name changed) with approximately 18 million active members, representing 72% of total retail sales
- Gift card programs across all three banners with approximately \$145 million in outstanding gift card liabilities at any given time
- A buy-online-pickup-in-store (BOPIS) program representing 12% of e-commerce orders, creating complex allocation questions for revenue by channel and location
- A recently launched marketplace platform allowing third-party sellers, introducing principal-versus-agent revenue recognition considerations
- Complex promotional structures including percentage-off coupons, buy-one-get-one (BOGO) promotions, tiered loyalty discounts, and employee discount programs

3. Key Challenges

3.1 ASC 606 Revenue Recognition Complexity

The client's revenue streams created a web of interrelated accounting challenges under ASC 606. The prior accounting treatment had been developed incrementally over 15 years and had not been comprehensively reassessed since the initial ASC 606 adoption in 2018. Specific issues included:

- **Loyalty Program (ASC 606-10-55-41 through 55-45):** The loyalty program offered points redeemable for discounts, free products, and exclusive experiences. The existing accounting model allocated consideration to loyalty points using a residual approach, which did not comply with the relative standalone selling price method required by ASC 606. An estimated 23% of loyalty points expired unused (breakage), but the client had not developed a statistically robust breakage estimation model.
- **Gift Card Breakage (ASC 606-10-55-46 through 55-49):** The client recognized gift card breakage revenue only upon legal escheatment to state authorities, rather than proportionally as redemptions occur. This resulted in an estimated \$12.4 million in deferred revenue that should have been recognized over prior periods under the proportional method.
- **Returns Reserve Estimation:** The client's return rate varied significantly by channel (in-store: 8%, e-commerce: 22%, wholesale: 3%) and by product category. The existing returns reserve

methodology used a blended rate that did not capture channel-specific or seasonal patterns, resulting in material quarter-to-quarter fluctuations in gross margin.

3.2 Omnichannel Revenue Allocation

The convergence of physical and digital retail created novel revenue allocation challenges:

- BOPIS orders: Revenue allocated between e-commerce and store channels for internal reporting, with inventory transfer and fulfillment cost implications
- Ship-from-store orders: Store inventory used to fulfill e-commerce orders, requiring real-time inventory adjustment and revenue channel attribution
- Marketplace transactions: Determination of principal versus agent status for approximately \$180 million in gross merchandise value (GMV) flowing through the third-party marketplace
- Bundled promotions: Cross-banner promotional offers requiring allocation of transaction price across multiple performance obligations and legal entities
- Subscription box program: Monthly curated product boxes creating distinct performance obligations for product delivery and styling services

3.3 Inventory and Working Capital Challenges

The client's inventory management practices were contributing to significant working capital inefficiency. Inventory turns had declined from 4.8x to 3.9x over three years, and markdown rates had increased from 28% to 34% of gross revenue. Excess and obsolete inventory reserves had grown to \$87 million, representing 11% of total inventory. The client's aging distribution center technology and manual allocation processes were unable to support the real-time inventory visibility required for effective omnichannel operations.

4. Meridian's Approach

4.1 Phase 1: Data-Driven Assessment (Months 1-4)

Meridian's approach began with a comprehensive data-driven assessment designed to quantify the magnitude of revenue recognition issues and inventory inefficiencies before proposing solutions.

- **Transaction-Level Revenue Analysis:** Analyzed 142 million individual point-of-sale transactions from the prior 36 months, encompassing all channels, banners, and product categories. Used MeridianAI's pattern recognition capabilities to identify 47 distinct revenue stream archetypes requiring unique ASC 606 treatment.
- **Loyalty Program Deep Dive:** Performed actuarial-grade analysis of loyalty program data, including issuance patterns, redemption curves, breakage history, and member lifetime value segmentation. Developed a stochastic breakage estimation model with 95% confidence intervals that improved upon the client's deterministic approach.
- **Gift Card Liability Reconstruction:** Reconstructed gift card liability from individual card-level transaction data spanning 7 years. Applied jurisdiction-specific escheatment rules for all 42 operating states and developed a proportional recognition model based on observed redemption patterns stratified by card type (physical, digital, promotional).
- **Inventory Health Assessment:** Conducted SKU-level analysis of 84,000 active SKUs across all locations, assessing sell-through rates, aging profiles, markdown trajectories, and seasonal demand patterns. Identified \$23 million in excess inventory that could be liquidated through targeted markdown strategies.

4.2 Phase 2: System Integration & Implementation (Months 5-16)

The implementation phase ran concurrently with the client's unified commerce platform migration, allowing Meridian to influence system configuration decisions that would impact financial reporting.

- **Revenue Recognition Engine Configuration:** Designed and configured a revenue recognition subledger within the client's new Oracle Cloud ERP, implementing automated allocation of transaction price across identified performance obligations. The engine processes approximately 450,000 transactions daily with same-day revenue recognition classification.
- **Loyalty Accounting Redesign:** Implemented a standalone selling price (SSP) allocation model for loyalty points, utilizing the adjusted market assessment approach. Integrated the model with the POS system to calculate and record the loyalty obligation at the point of sale in real time.
- **Returns Reserve Automation:** Developed a machine-learning-based returns prediction model incorporating channel, product category, price point, seasonality, and promotional intensity as features. The model reduced returns reserve estimation error from +/- 18% to +/- 4% on a quarterly basis.
- **Inventory Optimization Advisory:** Implemented demand-sensing analytics for the client's top 2,000 SKUs (representing 65% of revenue), enabling dynamic allocation of inventory across

channels and locations. Redesigned the markdown optimization framework using price elasticity modeling.

4.3 Phase 3: Validation & Sustainability (Months 17-24)

- **Financial Statement Impact Assessment:** Quantified the cumulative effect of all revenue recognition corrections, including catch-up adjustments for gift card breakage, loyalty program reallocation, and returns reserve refinement. Worked with the client's legal counsel and SEC reporting team to determine appropriate disclosure treatment, concluding that a 'big bath' restatement was not required and the corrections could be recorded as a change in accounting estimate.
- **Audit Support & Documentation:** Prepared comprehensive technical accounting memoranda supporting all significant judgments and estimates, facilitating a smooth year-end audit process. The client's external auditor (not Meridian, as we served in an advisory capacity) reported a 45% reduction in audit hours related to revenue recognition testing.
- **Training & Change Management:** Delivered a structured training program covering 84 finance and accounting professionals across headquarters and field operations. Topics included ASC 606 principles, new system workflows, and ongoing monitoring procedures. Achieved a 92% post-training assessment pass rate.
- **Ongoing Monitoring Dashboard:** Deployed a real-time monitoring dashboard tracking key revenue recognition metrics, including SSP allocation variances, loyalty breakage actuals versus estimates, gift card liability aging, and returns rates by channel. Configured automated alerts for deviations exceeding defined materiality thresholds.

5. Team Composition

Meridian assembled a cross-functional team led by Robert Adeyemi, our Retail & Consumer Practice Lead, combining deep retail industry expertise with specialized technical accounting, tax, change management, and data analytics capabilities. The team was structured to address the engagement's dual focus on revenue recognition compliance and operational transformation.

Role	Name	Specialization	Allocation
Lead Engagement Partner	Robert Adeyemi, MBA	Retail & Consumer	35%
Technical Accounting Partner	Sarah Chen, CPA, CISA	ASC 606 / Fin. Svcs.	25%
Sr. Manager - SALT Tax	Sophia Vasquez, CPA, JD	SALT / Multi-State	50%
Manager - Tax Provision	Rachel Okonkwo, CPA, MST	Tax Provision	60%
Sr. Manager - OCM	Lauren Mitchell, SHRM-SCP	Change Management	80%
Manager - Data/Analytics	Raj Krishnamurthy	Data Analytics / ML	100%
Staff - Data Analytics	Aisha Patel	Data Analytics	100%
Sr. Consultant - BA	Olivia Brennan, CBAP	BA / Testing	90%
Consultant - Data Eng.	Jessica Huang	Data Engineering	85%
Staff - PMO	Derek Williams	PMO Coordination	100%

Total engagement hours over the 24-month period were approximately 42,000. The team included professionals from four Meridian offices (New York, Chicago, Atlanta, and Seattle) with regular on-site presence at the client's headquarters and primary distribution center.

Team Qualifications

- Robert Adeyemi brings MBA (Wharton) credentials and CSCP certification with deep consumer/retail expertise spanning omnichannel strategy, merchandising analytics, and supply chain optimization
- Sarah Chen's 27 years of financial services experience and CISA credential provided essential technical accounting rigor for the ASC 606 revenue recognition redesign, including complex multi-element arrangements
- Sophia Vasquez and Rachel Okonkwo provided complementary tax capabilities: Sophia's JD and SALT specialization addressed the 42-state nexus complexity, while Rachel automated the federal and state tax provision workflow
- Lauren Mitchell's SHRM-SCP and Prosci certifications enabled an enterprise-grade change management program that achieved 92% training pass rates across 84 finance professionals
- Raj Krishnamurthy's AWS ML and Databricks expertise powered the machine-learning returns prediction model and demand-sensing analytics for inventory optimization
- Aisha Patel built the real-time monitoring dashboards and performed the 142-million-transaction revenue analysis that identified 47 distinct revenue archetypes
- Olivia Brennan's CBAP credential supported rigorous requirements definition and UAT planning for the Oracle Cloud revenue recognition engine

6. Quantifiable Outcomes

6.1 Revenue Recognition Improvements

Metric	Before	After	Improvement
Revenue Recognition Errors	14 per quarter	1 per quarter	93% reduction
Loyalty Breakage Accuracy	+/- 35% variance	+/- 6% variance	83% improvement
Gift Card Revenue Timing	Escheatment only	Proportional model	ASC 606 compliant
Returns Reserve Accuracy	+/- 18%	+/- 4%	78% improvement
Restatement Risk Items	8 identified	0 remaining	100% resolved

6.2 Working Capital & Inventory

Metric	Before	After	Improvement
Inventory Turns	3.9x	4.7x	+0.8x improvement
Markdown Rate (% of rev)	34%	29%	-5 pct points
Excess & Obsolete Reserve	\$87M	\$64M	\$23M reduction
Working Capital Freed	-	\$8.0M	Net improvement
Stockout Rate	7.2%	4.1%	43% reduction

6.3 Operational Efficiency

Metric	Before	After	Improvement
Monthly Close (days)	12	7	42% reduction
Manual Rev Rec Entries	680 / month	120 / month	82% reduction
Channel Attribution Time	48 hrs	Real-time	Eliminated lag
Audit Hours (Rev Rec)	4,200 hrs	2,310 hrs	45% reduction

7. Client Testimonial

"Meridian didn't just fix our revenue recognition issues - they fundamentally transformed how we think about financial data across our omnichannel business. The combination of deep technical accounting knowledge and practical retail operating experience is something we hadn't found at other firms. The \$8 million in working capital improvement exceeded our expectations and funded our next phase of digital investment."

- Chief Accounting Officer, [Client Name Redacted]

8. Lessons Learned

- **Data Quality Is the Foundation:** Investing four months in transaction-level data analysis before proposing solutions ensured that our recommendations were grounded in empirical evidence rather than assumptions. The client's leadership team cited this data-driven approach as a key differentiator.
- **System Migration Creates Opportunity:** Aligning revenue recognition redesign with the client's commerce platform migration allowed us to embed controls and automation into the new system from inception, rather than retrofitting.
- **Cross-Functional Collaboration Is Essential:** Revenue recognition in retail touches merchandising, marketing, store operations, e-commerce, and finance. Our team's ability to engage stakeholders across all functions was critical to achieving buy-in and sustainable adoption.